

**Activity 01: International
Business in Practice**
Team : - 215096A , 215111T

Chosen Item: Google Pixel 8 Pro Smartphone

1. Which country/company made it?

Company: Google (an American multinational technology company).

Country of Corporate Headquarters and Design: United States.
The phone's software (Android) and hardware design are primarily engineered in Google's facilities in California.

2. Where were its parts likely sourced from?

The components of a smartphone are a classic example of a global supply chain.

Processor (Google Tensor G3): Co-designed by Google and Samsung, likely manufactured in South Korea or Taiwan.

Display: Sourced from Samsung (South Korea) or BOE (China).

Memory (RAM/Storage): Components often come from companies like Samsung (South Korea) or SK Hynix (South Korea).

Cameras: Sensors are frequently supplied by Sony (Japan) or Samsung (South Korea).

Battery: Manufactured by companies in China or South Korea.

Assembly: The final assembly of most Pixel phones is done by contract manufacturers in Vietnam.

3. Why was it sold in Sri Lanka?

Google's decision to sell the Pixel phone in Sri Lanka is a direct application of two core international business strategies: Sales Expansion and Risk Reduction.

Sales Expansion: This is the primary driver, focusing on generating new revenue streams. Sri Lanka represents an untapped or growing market with a rising number of consumers who desire premium technology brands. By entering this market, Google directly competes with rivals like Apple and Samsung for market share, increases its global sales volume, and enhances its international brand presence, moving beyond its traditional strongholds.

Risk Reduction: This is a crucial strategic benefit achieved through diversification. By operating in numerous countries like Sri Lanka, Google is not solely dependent on the economic health,

consumer spending, or regulatory changes of any single nation . A downturn in one region can be offset by stability or growth in another, making the company's overall revenue base more resilient and less vulnerable to localized risks.

- **Market Demand:** Sri Lanka has a growing market of tech-savvy consumers who demand high-quality smartphones.
- **Global Brand Strategy:** Google, as a Multinational Enterprise (MNE), operates on a global stage. Selling in Sri Lanka allows them to compete with other giants like Apple and Samsung for market share, increase global sales revenue, and build international brand recognition.
- **Diversification:** Selling in multiple countries diversifies Google's revenue streams and reduces its reliance on any single market aiming to reduce the risk.

How this product shows the idea of international business:

The Google Pixel is a perfect embodiment of international business.

Operates Across Borders: Its entire existence is a result of cross-border activity, designed in the U.S., with parts from across Asia, assembled in Vietnam, and sold globally in countries like Sri Lanka.

Globalization: It shows the growing interdependence of the world's economies. The success of the Pixel relies on seamless trade, investment, and cooperation between multiple nations.

Modes of Operation: It involves merchandise imports/exports (shipping components and finished goods), FDI (in manufacturing and sales operations abroad), and likely strategic alliances with component suppliers and assembly partners.

Factors of Operation: Its production and marketing are influenced by economic forces (labor costs, tariffs), political policies (trade agreements between the U.S., Vietnam, and Sri

Lanka), and competitive factors (competing with Samsung and Apple globally).

In summary, a single Google Pixel phone is a tangible product of a complex web of international trade, investment, and strategy, making it a clear example of how international business works in the real world.